

they're still a much better deal than most private loans. This can save a lot of money. The PLUS program allows parents to borrow up to the full amount of their child's tuition, fees, on-campus room and board, and even a living allowance. They have the option of deferring payments until six months after you graduate.

Bottom line: Max out your federal loans and get a private loan only when you really cannot find the money anywhere else. Private loans are a last resort.

Good News if You're Going to Grad School

For years, once grad students maxed out their federal loans (Staffords top out at \$20,500 per year for graduate students), they had to resort to high-rate private loans to pay for school. However, in 2006, a new loan called the Grad PLUS made it easier to borrow more affordably. The program's fixed-rate loans, which tend to charge several percentage points less than private loans, can be used to fund the entire cost of your education (tuition, books, and living expenses) minus whatever other financial aid you receive. If you have a decent credit record—meaning you haven't had a recent foreclosure or bankruptcy—these could be a great option.

These loans are administered by the college or university you attend, but to apply you have to fill out a Free Application for Federal Student Aid (FAFSA), which is available online (www.fafsa.ed.gov).

IF YOU HAVE CREDIT CARD AND STUDENT LOAN DEBT

The interest rates on your student loans are probably lower than the interest rates on your credit cards. If this is the case, you should pay off your credit card debt faster than you pay off your student loans. By extending the number of years over which you pay back your student loans, you can reduce monthly student loan payments and free up some cash to speed up credit card payment. (Of course you'll need to resist the temptation to spend this cash instead of using it to pay down your more expensive debt.) Once you've wiped